

then you will already have been wiped out. That is exactly what happened to a lot of managers in 2008. We also never use stops.

So what do you do to manage risk instead?

It is common sense. There are multiple requirements for a trade to take place. Do we like the company? Is it cheap? Does it generate cash flow? Do we trust the management? Do I have confidence in my projections? Is the macro outlook favorable?

If a company meets all the criteria, then the next step is determining the appropriate position size. Given the degree of company and country risk, what do I think is the appropriate size position? If it is something very risky, a large position for me might be 1 percent to 5 percent of the portfolio. If it is a lower risk position in which I have very high confidence, the position could be as large as 20 percent of the portfolio, as is currently the case for Apple. I accept that if anything were to happen to Steve Jobs, the stock could go down 10 percent. That would be a 2 percent hit on my portfolio. I could live with that because I think the stock will triple over the next four years. If I have that big of a position in Apple, can I have another significant position in the same industry sector? No, I can't because a negative shock event or development might be one that impacts the entire sector rather than being Apple specific.

In controlling risk, it is also very important to have people in your team whose opinions you respect, who can push back at your ideas in a way that will make you stop, listen, and test your own views. My partner, Nick Barnes, is crucial to me in this regard.

Steve Jobs died about a half year after this interview. Although Apple stock moved lower in the weeks preceding his death, ironically, the stock moved higher after the event.

Is there any common denominator as to why your projections for a stock will differ from the market's perception?

Normally, it is because there is some kind of trend that I think is common sense but that the market does not appreciate because it is extrapolating history instead of looking forward. For example, Apple has never had any consequential sales in India or China, so the street assumption is that they never will, which is imbecilic. As another example, during the fourth